

FinSakhi - Loan & CIBIL Credit Score Awareness Guide

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1. Bank Interest Rates vs Informal Moneylenders

- ? Public Sector Banks (MUDRA / PMEGP): 9% to 12% per ANNUM interest rate.
- ? Local Moneylenders / Loan Sharks: 36% to 120% per ANNUM (Meter Vaddi / Daily Vaddi).
- ? Warning: Borrowing from loan sharks can trap micro-businesses in permanent debt cycles.

2. Understanding CIBIL Credit Score

- ? CIBIL Score ranges from 300 to 900. A score of 750+ is considered EXCELLENT by bank managers.
- ? How to Maintain High Score: Pay monthly loan EMIs and credit card bills ON TIME before due date.
- ? Never guarantee or co-sign loans for unreliable acquaintances.

3. Avoiding Fake Instant Loan Apps

- ? Beware of unauthorized loan apps on Play Store offering instant loans without documentation!
- ? Fake loan apps steal phone contacts, photos, and blackmail borrowers with exorbitant interest.
- ? Only take loans from RBI-registered banks, NBFCs, and official government schemes.

4. Loan EMI Calculation Formula

- ? Monthly EMI = $\frac{[\text{Principal} \times \text{Monthly Interest Rate} \times (1 + \text{Rate})^{\text{Tenure}}]}{[(1 + \text{Rate})^{\text{Tenure}} - 1]}$
- ? Ensure total monthly loan EMIs do not exceed 30% of your net monthly shop income.